

In my talk with Matt Houk, he mentioned this aspect too. He used Steven Udvar-Házy, the CEO of Air Lease Corp., as an example. Udvar-Házy is the father of the aircraft-leasing business. He has great connections in the business. He can pick up a phone and reach almost anyone. That fact gives Air Lease an advantage.

It's an advantage that doesn't show up in a financial statement or a price-earnings ratio. Yet it is as real as the ground you walk on.

The professors list many other attributes of success: low costs, modest borrowings, profits throughout economic cycles, low turnover among senior executives and an attention to providing incentives to all stakeholders. "The combined effect," the professors write, "when done well, provides explosive wealth creation for all organization stakeholders."

The exact mix of things may be a mystery, patched together after the fact to explain a result. The most important idea, though, is that the people calling the shots have personal capital at risk. That's the unique attribute that runs through all these stories. That's the secret behind the money.

In the pursuit of 100-baggers, it helps to back talent. Think about finding people who might be the next Jobs, Walton or Icahn. Invest alongside talented people. Many of the best-performing stocks of the past 50 years had such a key figure for at least part of their history. That's the key message of this chapter.